

Formula's - English System

Golden rules [English system]

20 Rule of Accounting - Double Entry System

<u>Personal account</u>	<u>Real account</u>	<u>Nominal account</u>
• Debit the receiver • credit the giver	• Debit what comes in • credit what goes out	• Debit all expenses/losses • credit all income/gains

Personal account

Personal account include ^{all} the account of person with whom the business has dealing

- Natural personal account

The term natural persons means person who are creation of god

ex- Mohan's account - A/c

Manasa A/c

- artificial personal account

This account include corporate bodies or institutions which are recognised as a person of business dealing

ex- Limited company
cooperative company, club, govt a/c, insurance a/c

Real Accounts

① Tangible real account

are those which relate to such things which can be touched or felt measured etc

ex- cash account, building a/c, furniture a/c

② Intangible real accounts

These account represent such things which can be not be touched of course they can measure in terms of money

ex: goodwill, trademark, patents, logos
NET ITC

(5) Nominal account
These accounts are opened in the books of simply to explain the nature of transaction they do not really exists
ex: salary pay to manager, rent pay, land, commission pay to sales man

Some important examples of personal, real, and nominal

PA	RP	NP
1 Robt's A/c	1 Land A/c	1 wages A/c
2 Samans A/c	2 permits A/c	2 carriage A/c
3 Capital A/c	3 Building A/c	3 transportation A/c
4 Drawings A/c	4 Landline machine A/c	3 the right A/c
5 Loan A/c	5 Furniture fixture A/c	4 factory expensy A/c
6 Pruns loan A/c	6 Vehicle A/c	5 factory lightning A/c
7 Bank loan A/c	7 Car, motor van, sales van A/c	6 factory insurance A/c
8 Bank old debt A/c	8 Loose tools A/c	7 custom duty A/c
9 Bank A/c	9 stock A/c	8 import duty or export duty
10 Camera bank A/c	10 stock of finished goods	9 exercise duty A/c
11 BBMP A/c	11 stock of raw material	10 factory A/c
12 BMC A/c	12 stock of raw material	10 GST A/c
13 Enposys limited A/c	13 Purchase A/c	11 consumable store A/c
14 BSNL A/c	14 Purchase return A/c	12 consumable store A/c
15 RC murg A/c	15 sales A/c	13 salary A/c
16 Gopuh store A/c	16 sales return A/c	14 bonus & allowance A/c
17 Debtors A/c	17 cash A/c	15 commission A/c
18 Creditors A/c	18 goodwill A/c	16 driven no A/c
	19 primary duty A/c	17 freight A/c
	20 trade mark A/c	18 paid & interest received
	21 Copying A/c	

19 salary outstanding A/c	20 A/c outstanding salary due A/c	21 pie paid amount A/c	22 interest receivable A/c	23 commission due but not received	24 commission received to advance	25 Bank initial	26 Bank charge A/c	27 rent A/c	28 dividend A/c	29 trade expensy A/c	30 secondary expensy A/c	31 printing & stationery A/c	32 postage A/c	33 telephone charge A/c	34 electricity charge A/c	35 charity A/c	36 travelling expensy A/c	37 advertisement A/c	38 directors fees	39 audit fees	40 legal charge A/c	41 provision charge A/c	42 medical charge A/c	43 badan A/c	44 repairs A/c	45 depreciation A/c	46 capitalization A/c
19 salary outstanding A/c	20 A/c outstanding salary due A/c	21 pie paid amount A/c	22 interest receivable A/c	23 commission due but not received	24 commission received to advance	25 Bank initial	26 Bank charge A/c	27 rent A/c	28 dividend A/c	29 trade expensy A/c	30 secondary expensy A/c	31 printing & stationery A/c	32 postage A/c	33 telephone charge A/c	34 electricity charge A/c	35 charity A/c	36 travelling expensy A/c	37 advertisement A/c	38 directors fees	39 audit fees	40 legal charge A/c	41 provision charge A/c	42 medical charge A/c	43 badan A/c	44 repairs A/c	45 depreciation A/c	46 capitalization A/c

Classification of Accounts Under American System (modern system)

- ① Assets (around) A/c
- ② Liabilities (around) A/c
- ③ Capital A/c
- ④ Revenue / gain A/c (Income)
- ⑤ Expenses A/c

Some examples of Liabilities, Assets, Capital Revenue / Income A/c, Expenses A/c

Asset A/c	Liability A/c	Capital A/c	Expenses A/c
① Land A/c	① Creditors A/c	① Capital A/c	① Purchase A/c
② Building A/c	② Bills payable A/c	② Drawing A/c	② Purchase return A/c
③ Plants, machinery A/c	③ Bank loan A/c		③ Wages A/c
④ Furniture & vehicle's A/c	④ Bank overdraft A/c		④ Cartage A/c
⑤ Employer car, motor vehicle, tools A/c	⑤ Outstanding salary A/c		⑤ Freight A/c
⑥ Stock A/c	⑥ Commission received in A/c		⑥ Factory expenses A/c
⑦ Bank A/c	⑦ Advance A/c		⑦ Manufacturing A/c
⑧ Good will A/c	⑧ Loan A/c		⑧ Expenses A/c
⑨ Payable A/c	⑨ Share payable A/c		⑨ Return on Buy A/c
⑩ Copyright A/c	⑩ Inttyt received A/c		⑩ Exercise duty A/c
⑪ Trade mark A/c	⑪ Loan from Bank A/c		⑪ GST A/c
⑫ Investment A/c	⑫ Salary received A/c		⑫ Salary A/c
⑬ Debtors A/c	⑬ Purchase returned A/c		⑬ Rent A/c
⑭ Invest received A/c	⑭ Commission A/c		⑭ Commission A/c
⑮ Prepaid Insurance	⑮ Salary returned A/c		⑮ Discount A/c
⑯ Loan to employee	⑯ Commission returned A/c		⑯ Insurance A/c
	⑯ Bank charge A/c		⑯ Printing A/c
			⑯ Stationery A/c

T/B Debit / Credit

- Cartage / Freight / Cartage → Transport cost
- Salary A/c → Expense
- Salary received → Income
- Salary A/c → Liability
- Salary payable → Liability
- Salary paid on manufacture of goods within monthly provision of fixed assets due to use for other
- Transport cost of goods
- Transport expenses, Capital, Liabilities & Assets

States the rules of Debit & Credit for Income, Expenses, Capital, Liabilities & Assets

Rule of Debit & Credit of American system (Modern system)	Debit	Credit
① Assets A/c	↑ increased	↓ Decrease
② Liability A/c	↓ liability	↑ liability
③ Capital A/c	↓ Capital	↑ Capital
④ Income A/c	↓ Income	↑ Income
⑤ Expenses A/c	↑ expense	↓ expense

Asset shows → debit balance
Expense shows → debit balance
Liability shows → credit balance
Capital shows → credit balance
Income shows → credit balance

Introduction to Accounting

Begin - Recording, classifying, summarizing

Features of Accounting

- ① Identification of financial transaction & events
- ② Recording → systematic, judicious, balanced
- ③ Classification → Personal, real, nominal
- ④ Summarizing → monthly, quarterly, yearly
- ⑤ Analysis and interpretation → Profit & Loss Statement

Objective of Accounting

aims & purpose of accounting

- ① Maintain systematic accounting records → recording, classifying, summarizing
- ② Ascertain Financial Performance → Profit & Loss, Balance Sheet
- ③ Helps to Management in Decision making →
- ④ Determining financial position
- ⑤ Communicate Accounting information to users
- ⑥ Protecting Business Assets

Accounting

Record data, classify data

→ Balance sheet → Financial position

PL → Financial Performance

source of documents → voucher

Journal → Buy, Sell

Ledger → posting

Trial balance

Financial statements

PL → B/S cash flow stn in equity.

Basis of Accounting

Assets → B/S → P/L → Equity Income.

Liability → B/S → P/L

Question

① classify the following Assets, liability, capital,

Income, expense

- ① cash A/c → Asset A/c
- ② Purchase A/c → expense A/c
- ③ Building A/c → Asset A/c
- ④ Bank loan A/c → liability A/c
- ⑤ computer A/c → Asset A/c
- ⑥ capital A/c → capital A/c
- ⑦ salary A/c → expense A/c
- ⑧ interest received A/c → income A/c
- ⑨ credit A/c → liability A/c
- ⑩ rent pay A/c → expense A/c
- ⑪ drawings A/c → capital
- ⑫ sales A/c → revenue/loan A/c

⑬ Building A/c → Asset

⑭ capital → capital

⑮ salary → expense

⑯ Bank loan → liability

⑰ sales → income

⑱ machinery → Asset

⑲ purchase → expense

⑳ rent → expense

㉑ creditors → liability

㉒ commission receivable → Asset

㉓ computer → Asset

㉔ doctors → Asset

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Meaning of Accounting
According to American Institute of Certified Accountants (AICPA)

Q.A. Accounting is the art of recording, classifying, and summarising in an significant manner and in terms of money.

Transaction and events which are fact at least financial character and interpreting thereof.

According to American Accounting Association (AAA)
Accounting is the process of identifying, measuring, recording, communicating.

Meaning of Accountancy
According to Eric Kohler - "Accountancy is the theory and practice of accounting"

Assets

Assets is an economic resource of an enterprise, they are by the business in its operation

Two types

① Fixed assets (Land, building, machinery, furniture etc.)

② Current assets (Stock of goods, cash etc.)

Liability - amount due.

Liabilities are obligations or debts that

an enterprise has to pay in other words

liability are the amount due from business to outsiders

eg:- Creditors bank, bank loan

Vouchers
The documentary evidence in support of an transaction is known as vouchers

Goods
Goods refers to the product in which customer has goods
ex:- Stationary, machines, articles like books, pens, pencils, notepad etc are his goods.

Branches of Accounting

- ① Financial accounting → Financial statements
- ② Cost accounting → details about manufacturing, pricing
- ③ Management accounting → cash flow, budgeting, inventory
- ④ Tax accounting → tax law, profit
- ⑤ Auditing → Forensic Accounting
- ⑥ Government Accounting

Advantages of Accounting

Functions of Accounting

- ① Keeping systematic records →
- ② Protecting property of the business/business entities
- ③ Meeting legal requirement
- ④ Communicating the result
- ⑤ Assistance to management

Advantages of Accounting

- ① Helpful in management of business
- ② Helpful in the payment of income tax and sales
- ③ Helps in sale of business
- ④ Aid to memory
- ⑤ Proof in the court of law
- ⑥ Helpful in the realization of debts
- ⑦ Helpful in making comparative study
- ⑧ Helpful in planning
- ⑨ Makes decision making easy
- ⑩ Helpful in controlling the business

Fixed assets

Drawings refers to cash, goods or other assets shown as taken away by the owner from the business for personal use.

Debtors

Debtors are persons or other entities who owe "money" to the business for buying goods and services on credit. Debtors are assets to the business.

Basic terms in Accounting

① Entity - Entity means a reality

i.e. thing or a person having a individual existence.

ex: - bigbazzar, ITC (restaurant)

② Transaction

Transaction means an event, activity or a dealing involving the exchange of money or money's worth, between the person.

ex: - Purchase of goods for Rs 1000

③ Credit Transaction

Credit Transaction are those transaction in which receipt or payment of cash is postponed to a future date.

ex: - goods sold for cash Rs 1000 postdated

ex: - goods purchased from Mr. Anand credit for Rs 1000

④ Cash transaction

Cash transaction is a transaction which involves immediate receipts and payments of cash.

ex: - goods sold for cash Rs 1000

⑤ Fixed assets -

Fixed assets are the assets held on long term basis. These assets are used for a normal operation of the business.

ex: land, building, machinery, furniture etc.

⑥ Current assets

Current assets are assets held on a short term basis.

ex: debtors, bill receivable, stock and cash

⑦ Long term liability

Long term liabilities are those that are usually payable after period of 1 year.

ex: long term loan, debentures

⑧ Short term liability

Short term liabilities are obligations that are payable within a period of 1 year.

ex: credit creditors, bills payable, bank overdraft

⑨ Capital (Investment)

Capital is the amount invested by the owner in the business.

Capital = Assets - Liability

(10) Stock (Inventory)
 Stock means the value of unsold goods or unused materials in a concern at any particular point of time.

• The value of stock at the end of the year is called closing stock

• The value of stock in the beginning of the year is called opening stock

(11) Creditors & Creditors' Liabilities
 Creditors are the person or other entities to whom the business owes money for providing the goods or service on credit. Creditors are liabilities to business.

(12) Revenue
 Revenue or Income means the earning of a business from the sale of goods or from rendering of a service to the customer.
 ex: sales revenue.

(13) Expenses
 Expenses are incurred by a business in the process of earning revenue are known as expenses.
 It is expenditure.
 ex: salary paid

(14) Revenue Expenditure
 Spending of money for some benefit, the benefit of such expenditure is exhausted within a year is known as revenue expenditure.
 ex: purchase of goods, payment of salaries

(15) Gain
 A profit that arises from events or a transaction which are not regular, but incidental to a business is known as gain.
 ex: profit on sale of fixed assets
 - purchasing a ~~profit~~ asset

(16) Loss
 The decay of expense of a period over the related revenue is termed as loss.
 It is also refers money or money's worth lost without receiving any benefit in return.
 ex: loss of goods by fire
 loss of cash by theft

Limitations
 ① expensive system
 ② High knowledge requirements
 ③ Change of error

Uses of Accounting Information: their needs
 a. Internal uses
 ① Owners
 ② Management
 ③ Employees & workers

External users
 ① Banks Financial Institutions
 ② Investors
 ③ Creditor
 ④ Government
 ⑤ Public

Classify the following assets, liability, capital

- ① Furniture a/c → asset a/c
- ② outstanding rent a/c → liability
- ③ Bad debts a/c → expense → income
- ④ Indiv receivable a/c → income
- ⑤ Rent received in advance income
- ⑥ prepaid salary a/c → asset
- ⑦ capital a/c → capital
- ⑧ bills payable a/c → liability
- ⑨ government a/c → asset
- ⑩ sales return a/c → income
- ⑪ bank overdraft a/c → liability
- ⑫ debtors → assets

Assets	Liability	Capital	Expense	Income
① Furniture a/c	outstanding rent	capital a/c	bills payable	rent received in advance
debtors	bad debts	investment a/c	prepaid salary	sales return
investment a/c	bank overdraft			interest receivable

17 Bank Overdraft

Bank overdraft occurs when you don't have enough money in your account to ~~cover~~ a transaction, but the bank pays the transaction anyway

18 Assets

- ① cash a/c → asset a/c
- ② creditors a/c → liability
- ③ salary outstanding a/c → liability
- ④ machinery a/c → asset
- ⑤ Rent a/c → expense
- ⑥ commission received a/c → income
- ⑦ drawings a/c → capital
- ⑧ bills receivable a/c → asset
- ⑨ prepaid insurance a/c → asset
- ⑩ purchase return a/c → income
- ⑪ loan from bank a/c → liability
- ⑫ closing stock a/c → asset

- ⑬ goodwill a/c → asset a/c
- ⑭ outstanding rent a/c → liability
- ⑮ Bank loan a/c → liability
- ⑯ accrued a/c → asset
- ⑰ Bad Debts Recovered a/c → income
- ⑱ Prepaid Insurance a/c → asset
- ⑲ carriage inward a/c → expense
- ⑳ carriage outward a/c → expense
- ㉑ capital introduced a/c → capital a/c
- ㉒ Indiv on loan a/c → expense a/c
- ㉓ Bill Disbursed a/c → expense
- ㉔ Rent received in advance a/c → liability
- ㉕ cash in hand a/c → asset
- ㉖ furniture a/c → asset

Account Receivable

- ① Accrued Rent A/c → Asset
- ② prepaid salary A/c → Asset
- ③ Bank overdraft → Liability
- ④ Provision Allowance A/c → Expense
- ⑤ Discount Received A/c → Income
- ⑥ Outstanding wages A/c → Liability
- ⑦ Building A/c → Asset
- ⑧ Depreciation A/c → Expense
- ⑨ Drawings A/c → Capital A/c
- ⑩ Intert payable A/c → Liability
- ⑪ Bill Receivable A/c → Asset
- ⑫ Bills Payable A/c → Liability
- ⑬ Commission received in advance → Asset
- ⑭ Insurance claim receivable → Asset
- ⑮ Bad debt recovered A/c → Income

Book keeping

Book keeping may be define as "an art of well a science" of recording all the financial transaction and dealing systematically in a set of books

A book keeper is mainly responsible for keeping all the records of business or only a signature of his work is of clerical in nature and in modern times, it is done through the use of electronically, mechanical and computerised device.

System of Book keeping

① Double entry System

Under this system, every business transaction has two fold effect, it touches two accounts at a time, if one account is debited, the

other account will have to be credited with the same amount.

eg:- If goods are purchased for cash, goods are coming in business and cash is

going out of business

hence, purchase amount will be debited and cash account will

be credited

Double entry system is used by most of accountants has its only system that fully satisfies the objective of system of accounting.

The following basic accounting equation are based on double entry system.

Assets = Liabilities + Capital

Accounting equation

- Formula
- Assets = Liabilities + Capital
 - Liability = Assets - Capital
 - Capital = Assets - Liability

② Single entry system

- This system may be termed as an incomplete double entry system.
- This system has been developed by some small scale business concern who, for their convenience, keep only some essential records.
- This system is not reliable ~~but~~ all records are not kept.

Journal

- The word Journal has been derived from ~~Latin~~ the French word 'Jour' which means daily records.
- The Journal records or daily transaction of a business in the order in which they occur.
- A Journal may, therefore, be defined as a containing, chronological records of transaction.
- It is the book in which the transaction are recorded, first of all under the Double entry system.
- Thus, Journal is a book of the original records, books of prime entry.
- The recording of a transaction in the Journal is called 'Journalizing'.
- The Record of a business Transaction Journal is called 'Journal Entry'.

Projection of Journal

Date	Particulars	L/F	Debit (₹)	Credit (₹)
①	②	③	④	⑤

- Date: - Date on which the transaction was entered is recorded here.
- Particulars: - The 2 aspects are recorded in this column. i.e. details regarding amounts which have to be debited and credited.

③ L/F (Ledger Folio) - The transaction entered on the Journal are later are posted to the ledger.

④ Amount Debit - In this column, the amount to be debited is entered.

⑤ Amount Credit - In this column, the amount to be credited is shown.

One can simply know that left hand side is debit, right hand side is credit.

Narration

A short explanation of each transaction is given under each entry which is called Narration.

The subject matter by a transaction can be ascertained through narration.

Besides this, there be any mistake in determining debit/credit aspects of a transaction, it can be easily directed from narration. A Journal entry is not complete without Narration.

Steps in Journalizing

- Step 1 Ascertain what accounts are involved in transaction
- Step 2 Ascertain what the nature of accounts involved is
 - 3 Ascertain which side of debit & credit is applicable for each of accounts involved
 - 4 Ascertain which account is to be debited and which is to be credited
 - 5 Record the date of transaction in date column
 - 6 Write the name of a/c to be debited, very close to the left hand side & (i.e. debit column & particular column)
 - 7 along with abbreviation 'Dr' on the same line against the name of the account in the particular column, and the amount to be debited in debit amount column against name of account.
 - 8 Write the name of account to be credited preceded by the word 'To' at a few space towards right in the particular column, and the credit amount

to be credited in credit amount column against name of a/c

- 9 Write a narration (i.e. a brief description of the transaction) within brackets in the next line in the particulars column
- 10 Draw a line across entire particulars column to separate one journal entry from the other.

Types of Journal Entry

- 1 Simple Journal Entry
- 2 Compound Journal Entry

1 Simple Journal Entry

When only 2 accounts are involved in a journal entry of which one account being debited and another account being credited is called Simple Journal entry

Ex: Goods purchased for cash of ₹50,000 on 01/01/2012

It involved only two accounts

1. Purchase account
2. Cash account

Journal Entry

Date	Particulars	L.A	Debit	Credit
01/01/2012	Purchase A/c...Dr.		50,000	
	To Cash A/c			50,000
	(Being goods purchased for cash)			

2. Compound Journal Entry

When the number of accounts to be debited or credited is more than one in a Journal entry such an entry called compound Journal entry. ~~or~~ compound Journal entry is ^{actually} combination of two or more simple entries can be

- ① If the two or more single Journal entries are to be posted on the same date.
- ② If there is a common account either debit account credit account involved in those single Journal entry

Ex:- Bought furniture for ₹25,000 from Royal Furniture mart on 11/11/2012 and ₹5,000 paid in cash immediately and balance of ₹20,000 is still payable

Date	Particular	L.F	Debit	Credit
11/11/2	Furniture A/c Dr		₹25,000	
	To cash A/c			₹5,000
	To Royal Furniture mart A/c			₹20,000
	[Being furniture purchased cash and credit]			

Problems

Journalize the following transaction in the Books of Mr. Ganesh

Date	Particulars	Am't
11/11/2	Mr. Ganesh com's business with cash	₹60,000
3/11/2	Paid to Bank	₹20,000
5/11/2	Purchased goods for cash	₹20,000
6/11/2	Sold goods for cash	₹25,000
8/11/2	Purchased goods from Darshan on credit	₹10,000
9/11/2012	Sold goods to Sudheep on credit	₹20,000
15/11/2012	Return goods to Darshan for damage	₹1000
18/11/2012	Received goods return by Sudheep.	₹2000
20/11/2	Bought furniture for cash	₹10,000
21/11/2	Paid to Darshan on Account	₹8,000
27/11/2	Received from Sudheep on account	₹15,000
31/11/2	Paid salary	₹5,000

Problems

① Journalise the following transaction in the books of Mr. Ganesh

~~Jan 1-2012~~ Mr. Ganesh commenced business with cash ₹ 60,000

~~2-1-2012~~

3-1-2012: Paid into bank ₹ 20,000

5-1-2012: Purchased goods for cash ₹ 20,000

6-1-2012: sold goods for cash ₹ 25,000

8-1-2012: Purchased goods from Darshan on credit for ₹ 10,000

9-1-2012: sold goods to Sudeep on credit for ₹ 20,000

15-1-2012: returned goods to Darshan for ₹ 1,000 for damage

18-1-2012: Received goods returned by Sudeep ₹ 2000

20-1-2012: brought furniture for cash ₹ 20,000

21-1-2012: Pay to Darshan ₹ 8,000 on account

27-1-2012: Received from Sudeep ₹ 15,000 on account

31-1-2012: Paid Salary ₹ 5,000

Date	Name of the a/c	Types of A/c	Rules of Dr/Cr	A/c to be debited	A/c to credit	Reasons
01/01/2012	A. cash a/c B. capital a/c	Real a/c Personal a/c	Debit what comes in Credit the giver	cash a/c -	- capital	cash comes in Ganesh is giver
02/1/2012	A. Bank a/c B. cash a/c	Personal a/c Real a/c	Debit the receiver credit what goes out	bank a/c -	- cash a/c	Bank received the cash cash are goes out
05/1/2012	A. purchased a/c B. cash a/c	real a/c real a/c	Debit what comes in credit what goes out	Purchase a/c -	- cash a/c	Goods comes in cash goes out
06/1/2012	A. cash a/c B. sales a/c	Real a/c Real a/c	Debit what comes in credit goes out	cash a/c -	- sales a/c	cash comes in goods going out
08/1/2012	A. Purchase a/c B. Darshan a/c	Real a/c Personal a/c	Debit what comes in credit the giver	Purchase a/c -	- Darshan a/c	goods comes in Darshan is the giver
09/1/2012	A. Sudeeps a/c B. sales a/c	Personal a/c real a/c	Debit the receiver credit goes out	Sudeep a/c -	- sales a/c	Sudeep is the receiver goods goes out
15/1/2012	A. Darshan a/c B. Purchase return a/c	Personal a/c real a/c	Debit the receiver credit ^{what} goes out	Darshan a/c -	- Purchase return a/c	Darshan is receiver goods goes out
18/1/2012	A. sales return a/c B. Sudeep a/c	real a/c Personal a/c	what comes in credit the giver	sales return a/c -	- sudeep a/c	Goods comes in Sudeep is the giver.
20/1/2012	A. furniture a/c B. cash a/c	Real a/c Real a/c	Debit what comes in credit what goes out	furniture a/c -	- cash a/c	furniture comes in cash goes out
21/1/2012	A. Darshan a/c B. cash a/c	personal a/c real a/c	Debit the receiver credit goes out	Darshan a/c -	- cash a/c	Darshan is the receiver cash goes out
27/1/2012	A. cash a/c B. Sudeep a/c	Real a/c Personal a/c	Debit what comes in credit the giver	cash a/c -	- Sudeep a/c	goods comes in Sudeep is the giver
31/1/2012	A. salary a/c B. cash a/c	nominal a/c real a/c	Debit all expenses income credit what goes out	salary a/c -	- cash a/c	Goods expenses/income cash goes out

Journal Entries in the books of Mr. Sanyal

Date	Particulars	L/F	Debit	Credit
01/11/12	Cash A/c — Dr To Capital A/c		60,000	60,000
	[Being business commenced with cash]			
31/11/12	Bank A/c — Dr To Cash A/c		80,000	80,000
	[Being cash paid into bank]			
5/11/12	Purchase A/c — Dr To Cash A/c		20,000	20,000
	[Being goods purchased for cash]			
6/11/12	Cash A/c — Dr To Sales A/c		25,000	25,000
	[Being goods sold for cash]			
8/11/12	Purchase A/c — Dr To Barshan A/c		10,000	10,000
	[Being goods purchased from Barshan on credit]			
9/11/12	Sudeep A/c — Dr To Sales A/c		80,000	80,000
	[Being goods sold to Sudeep on credit]			
15/11/12	Barshan A/c — Dr To Purchase return		1000	1000
	[Being goods returned to Barshan]			

Date	Particulars	L/F	Debit	Credit
18/11/12	Sales A/c — Dr To Sudeep A/c		2000	2000
	[Being goods returned by Sudeep]			
20/11/12	Furniture A/c — Dr To Cash A/c		20,000	20,000
	[Being furniture purchased/bought for cash]			
21/11/12	Barshan A/c — Dr To Cash A/c		8,000	8,000
	[Being cash paid to Barshan]			
27/11/12	Cash A/c — Dr To Sudeep A/c		15,000	15,000
	[Being cash received from Sudeep]			
31/11/12	Salary A/c — Dr To Cash A/c		5,000	5,000
	[Being salary paid]			

Problem 2

Journalize the following transaction in the books of Venkatesh.

Date

1/3/2012 Business started with cash Rs 1,00,000

2/3/2012 Goods purchased from Monisha ₹ 30,000

3/3/2012 open bank a/c with SBI ₹ 25,000

5/3/12 cash sale ₹ 40,000

7/3/12 Purchased goods a/c for cash ₹ 30,000

8/3/12 Sold goods to Priya worth of ₹ 40,000 on credit

10/3/12 Received cheque from Priya for ₹ 30,000

12/3/12 Paid to cheque to Monisha ₹ 25,000

14/3/12 Paid office rent Rs 55,000

22/3/12 Received commission from Ravi ₹ 2000

25/3/12 cash withdrawal for personal use ₹ 2000

28/3/12 paid wages ₹ 1000

31/3/12 interest received ₹ 4000

sales - Priya a/c
cheque - Bank

Monisha
Bank

Bank
From - withdrawal

Date	Name of the a/c	Type of A/c	Rule of Dr/Cr	A/c to be debited	A/c to be credit	Reasons
1/3/2012	A. Cash A/c B. Capital A/c	Real A/c Personal A/c	Debit what comes in credit the giver	Cash A/c —	— Capital A/c	cash comes in the giver.
2/3/2012	A. Purchase A/c B. Monisha A/c	Real A/c Personal A/c	Debit what comes in credit the giver	Purchase A/c —	— Monisha A/c	Goods comes in the giver
3/3/2012	A. Bank A/c B. Cash A/c	Personal A/c Real A/c	Debit the receiver credit what goes out	Bank A/c —	— Cash A/c	Cash Bank is the receiver cash goes out
5/3/12	A. cash A/c B. sales A/c	Real A/c Real A/c	Debit what comes in credit what goes out	cash A/c —	— sales A/c	cash comes in sales goes out
7/3/12	A. Purchase A/c B. cash A/c	Real A/c Real A/c	Debit what comes in credit what goes out	Purchase A/c —	— Cash A/c	Purchase goods comes in cash goes out
8/3/12	A. Priya A/c B. sales A/c	Personal A/c Real A/c	Debit the receiver credit what goes out	Priya A/c —	— sales A/c	Priya is the receiver sales goes out
10/3/12	A. cash A/c B. Priya A/c	Real A/c Personal A/c	Debit what comes in credit the giver	cash A/c —	— Priya A/c	cash comes in Priya the giver
12/3/12	A. Monisha A/c B. Bank A/c	Personal A/c Personal A/c	Debit the receiver credit the giver	Monisha A/c —	— Bank A/c	Monisha is the receiver Bank is the giver
14/3/12	A. Rent A/c B. cash A/c	Nominal A/c Real A/c	Debit ^{all} expense/loss credit what goes out	Rent A/c —	— cash a/c	Rent is expense cash is goes out.
22/3/12	A. cash A/c B. commission A/c	Real A/c Nominal A/c	Debit what comes in credit all income/gain	cash A/c —	— commission A/c	cash comes in commission - income/gain
25/3/12	A. Drawing A/c B. cash A/c	Personal A/c Real A/c	Debit the receiver credit what goes out	Drawings A/c —	— cash A/c	Cash is draw-receiver goes out
28/3/12	A. wages A/c B. cash A/c	Nominal A/c Real A/c	Debit all expense/loss credit the giver	wages A/c —	— cash A/c	wages - expense/loss cash
3/4/12	Cash A/c Profit A/c	Real Nominal	Debit what comes in credit all income/gain	Cash A/c —	— Profit A/c	cash comes in Profit - income/gain

Journal Entry on the books of Unkesh

classmate
Date
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DATE	PARTICULARS	L/F	DEBIT	CREDIT
13/3/12	Particulars To Capital A/c [Being business started with cash]	Dr	1,00,000	1,00,000
13/3/12	Purchase A/c To Monisha A/c [Being goods purchased from Monisha]	Dr	30,000	30,000
13/3/12	Bank A/c To Cash A/c [Being open bank a/c with SBI]	Dr	85,000	85,000
13/3/12	Cash A/c To Salary A/c [Being goods sold for cash]	Dr	40,000	40,000
13/3/12	Purchase A/c To Cash A/c [Being purchased goods for cash from Ranganath]	Dr	30,000	30,000
13/3/12	Priya A/c To Salary A/c [Being goods sold to Priya on credit]	Dr	40,000	40,000
13/3/12	Bank A/c To Priya A/c [Being cheque received from Priya]	Dr	30,000	30,000

classmate
Date
Page

DATE	PARTICULARS	L/F	DEBIT	CREDIT
18/3/12	Monisha A/c To Cash A/c [Being paid cheque to Monisha]	Dr	85,000	85,000
19/3/12	Rent A/c To Cash A/c [Being paid office rent]	Dr	5,000	5,000
28/3/12	Cash A/c To Commission A/c [Being received commission from Ravi]	Dr	2,000	2,000
28/3/12	Drawing A/c To Cash A/c [Being cash withdrawn for personal use]	Dr	8,000	8,000
28/3/12	Wages A/c To Cash A/c [Being cash wages paid]	Dr	10,000	10,000
31/3/12	Cash A/c To Profit A/c [Being profit received]	Dr	4,000	4,000
	TOTAL		3,34,000	3,34,000

3) Journalise the following transaction in the book of Mr. H.

Date	Particulars	Dr	Credit
11/12/2024	Business started with cash	₹ 75,000	
11/12/2024	Purchased goods for cash	₹ 10,000	
11/12/2024	Sold goods to Swati	₹ 5,000	
12/12/2024	Purchased furniture	₹ 3,000	
12/12/2024	Cash received from Swati	₹ 4,000	
30/12/2024	Paid salary	₹ 1,500	
30/12/2024	Salary A/c	₹ 1,500	
30/12/2024	TO Cash A/c		₹ 15,500
	[Being salary paid in cash]		
11/12/24	Capital A/c Dr	₹ 75,000	
	TO Capital A/c		₹ 75,000
	[Being business started with cash]		
11/12/24	Purchase A/c	₹ 10,000	
	TO Cash A/c		₹ 10,000
	[Being goods purchased for cash]		
11/12/24	Swati A/c	₹ 5,000	
	TO Sales A/c		₹ 5,000
	[Being goods sold to Swati on credit]		
12/12/24	Furniture A/c	₹ 3,000	
	TO Cash A/c		₹ 3,000
	[Being furniture purchased for cash]		
12/12/24	Cash A/c	₹ 4,000	
	TO Swati A/c		₹ 4,000
	[Being cash received from Swati]		
30/12/24	Salary A/c	₹ 1,500	
	TO Cash A/c		₹ 1,500
	[Being salary paid in cash]		
		₹ 75,500	₹ 75,500

Compound Journal Entry

4) Journalise the following transaction Mr. H

Date	Particulars	Dr	Credit
1/4/2025	Business started with cash	₹ 1,50,000	
1/4/2025	(50 goods)	₹ 50,000	
2/4/2025	Purchased goods from Harish	₹ 30,000	
5/4/2025	Cash sales	₹ 85,000	
8/4/2025	Purchased furniture for cash	₹ 5,000	
10/4/2025	Cash pay to Harish on account	₹ 15,000	
12/4/2025	Pay salary expenses	₹ 200	
12/4/2025	Deposited into Bank	₹ 5,000	
18/4/2025	New cash for personal use	₹ 1,000	
20/4/2025	Cash paid to Harish in full settlement of account	₹ 14,700	
25/4/25	Goods sold to Nisha	₹ 71,000	
29/4/25	Received cash from Nisha	₹ 6,800	
30/4/25	Rent paid	₹ 800	
		₹ 1,500	
		₹ 1,50,000	₹ 1,50,000

Journal (Compound Journal Entry)

Date
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Date	Particulars	Dr	Cr
11/4/2025	Cash A/c ——— Dr Stock A/c ——— Dr To Capital A/c	1,50,000 50,000 —	2,00,000
	[Being business started with cash and goods]		
9/4/2025	Purchase A/c ——— Dr To British A/c	30,000 —	30,000
	[Being goods purchased from British on credit]		
8/4/2025	Cash A/c ——— Dr to Sales A/c	25,000 —	25,000
	[Being sales goods for cash]		
8/4/2025	Furniture A/c ——— Dr to Cash A/c	5,000 —	5,000
	[Being purchased furniture for cash]		
10/4/2025	Harish A/c ——— Dr to Cash A/c	15,000 —	15,000
	[Being cash paid to Harish]		
13/4/2025	Paid expenses A/c ——— Dr to Cash A/c	800 —	800
	[Being sundry expenses paid]		
18/4/2025	Bank A/c ——— Dr to Cash A/c	5,000 —	5,000
	[Being deposited cash into bank]		

Date
Page

Date	Particulars	Dr	Cr
8/4/2025	Drawing A/c ——— Dr to Cash A/c	1,000 —	1,000
	[Being cash drawn for personal use]		
28/4/25	Harish A/c ——— Dr to Cash A/c	15,000 —	15,000
	[Being cash paid to Harish]		
28/4/25	Harish A/c ——— Dr to Cash A/c	15,000 —	15,000
	[Being cash paid to Harish and discount received]		
28/4/25	Nityh A/c ——— Dr to Sales A/c	7,000 —	7,000
	[Being goods sold to Nityh]		
29/4/25	Cash A/c ——— Dr discount A/c ——— Dr	6,800 200	7,000
	[Being Received cash from Nityh and discount allowed]		
30/4/25	Rent A/c ——— Dr to Cash A/c	1,500 —	1,500
	[Being Rent paid.]		

5) Journalise the following transaction in books of

Mr. Arun

Dr

11/185 started business with cash ₹1,65,000

21/185 open a bank a/c in PNB ₹80,000

4/1/85 goods purchased from Tara ₹28,000

8/1/85 goods sold to Naman ₹12,000

15/1/85 cash received from Naman ₹11,700

16/1/85 wages allowed ₹300

18/1/85 furniture purchased ₹5,000

28/1/85 Issued cheque for ₹3,000

29/1/85 goods issued for purchase house hold purpose ₹2,000

24/1/85 insurance premium ₹1,000

26/1/85 cash a/c commision ₹1,000

31/1/85 goods destroyed ₹800

Normal purchase a/c

Journal entries in the books of Mr. Arun

Date	Particulars	L.F	Debit	Credit
11/185	Cash a/c — Dr To Capital a/c		1,65,000	—
	[Being business started with cash]		—	1,65,000
21/185	Bank a/c — Dr To Cash a/c		80,000	—
	[Being bank a/c open in PNB]		80,000	—
4/1/85	Purchase a/c — Dr To Tara a/c		28,000	—
	[Being goods purchased from Tara]		—	28,000
8/1/85	Naman a/c — Dr To Sales a/c		12,000	—
	[Being goods sold to Naman]		—	12,000
16/1/85	Cash a/c — Dr Discount a/c — Dr		11,700	—
	To Naman a/c		300	—
	[Being cash received from Naman and discount allowed]		—	12,000
24/1/85	Wages a/c — Dr To Cash a/c		200	—
	[Being wages paid]		—	200
26/1/85	Furniture a/c — Dr To Cash a/c		5,000	—
	[Being furniture purchased for office use]		—	5,000

Date	Particulars	L/F	Debit	Credit
28/1/85	Rent A/c — or to Rent A/c [Being cheque issued for rent]		3,000	—
28/1/85	Insurance A/c — or to purchase A/c [Being goods issued for house hold purpose]		8,000	—
28/1/85	Insurance premium A/c — or to Bank A/c [Being cheque given for a insurance premium]		11,000	—
28/1/85	Cash A/c — or To Commission A/c [Being commission received]		11,000	—
31/1/85	goods destroyed by fire A/c — or to purchase A/c [Being goods destroyed by fire]		800	—

Ledger

Meaning of ledger

When the transaction are recorded from the primary books of accounts on permanent basis under double entry system in a summarised & classified form in different accounts and the same is posted in separate page, it is called a ledger.

Since all the transaction are recorded in the books of permanent basis, it is called

"The Book of Final Entry"

Practically ledger is the principle book of accounts, as a result all the necessary information relating to an account is available from the ledger. This is the most important book of the business and hence rightly called the king of all books.

A ledger is a book which contains all the accounts whether personal, real or nominal, which are first entered in a Journal or a special purpose subsidiary book.

According to "A.C. Cropper" the book which contains a classified and permanent record of all transaction of a business is called the "ledger".

Need and Importance of ledger

- It provides complete information about all accounts in one book.
- It enables to ascertain, what the main items of revenue are.
- It enables to ascertain, what the main items of expense are.
- It enables to ascertain which are the assets and the values.

- It enables to ascertain when on the liability and in amounts
- It facilitates the preparation of final accounts

problem of hedge.

The dollar amount is
and sometimes rounded $\frac{1}{2}$ amount.

shape. and sometimes
The left side of T around is called

the Debt side.

Debit side and right side raised credit side

In other words, all debts will be recorded on the left side and all credits will be

worded on the right side,

In practice, each side of the accounts has

4 columns to record necessary details of each behavior

below transaction has shown

Debit (Dr)				Credit (Cr)	
Date	Particulars	Journal Folio	Amount Dr	Date	Particulars
①					
②					
③					
④					
①					
					2
					3
					4

Credit (Cr)

3	4
1	2

- ① Debit:- A Date on which transaction is recorded
- ② Credit:- Particulars relatively to transaction
- ③ Journal Folio (J/F):- In J/P, column a reference is made to the page no of the book of original entry
- ④ Amount:- The amount involved in a transaction is entered

Difference b/w Journal & Ledger

Basis Difference	Journal	Ledger
① Nature of Books	It is a book of original / Prime entry	It is a book of final / Secondary entry
② Basis for preparation	It is prepared on the basis of source documents of transaction	It is prepared on the basis of journal
③ stage of recording	Recording in the Journal is the first stage	Recording in the ledger is the second stage
④ Object	It is prepared to record all transactions in the chronological order	It is prepared to know the net effect of various transactions affecting the particular A/c
⑤ Format	In a Journal there are 5 columns - Date, Particulars, L/F, Debit ^{am} , Credit ^{and}	In ledger there are identical 4 columns on Debit side & credit side. Date, Particulars, Journal Folio, J/F, amount
⑥ balancing	Journal is not balanced	All ledger A/c [except nominal A/c] are balanced in the ledger
⑦ Narration	Narration is given for each entry	No narration is given

⑧ Name of the Primary of recording entry	• The process of recording in Journal is called <u>Journalising</u>	• The process of recording in ledger is called <u>Posting</u>
⑨ Basis of preparation of final A/c	Journal directly does not serve as basis for the preparation of final accounts	Ledger serves the basis for the preparation of final accounts

Preparation of ledger

The term posting means transferring the debit or credit items from the Journal to the respective accounts in the ledger.

On the basis of the entries made in the Journal accounts are prepared in the ledger.

Ledger is called the principle book because it usually all the ledger accounts are considered for the purpose of accounting analysis.

There is no standard classification of accounts each organisation has to make the classification in order to provide the appropriate information to the users

Posting

The term posting means transferring the debit or credit items from the Journal to the respective accounts in the ledger. On the basis of the entries made in the Journal, Accounts are prepared in the ledger. Ledger is called the principle book, because finally all ledger accounts are considered for the purpose of accounting analysis

Use of the word 'to' & 'by' is customary to use the word 'to' and 'by' while making posting in the ledger.

The word 'to' is used with the accounts which appear on the debit side of a ledger file.

In the computerized environment, the use of words 'to' and 'by' can be ignored.

Problem 1

Journalise the following transactions and post them to ledger file

Rate	Particulars	₹
11/1/85	Business started with cash	₹ 8,00,000
8/1/85	open a bank a/c with SBI	₹ 80,000
10/1/85	goods purchased on credit from Mohan	₹ 20,000
20/1/85	sold goods on credit to Madan	₹ 85,000
25/1/85	cash paid to Mohan	₹ 20,000
31/1/85	Salary paid in cash	₹ 6,000

Journal Entries in the Books of

Rate	Particulars	4F	Debit	Credit
11/1/85	cash a/c ——— Dr To (capital) a/c		8,00,000	
	[Being business started with cash]			2,00,000
8/1/85	bank a/c ——— Dr To cash a/c		20,000	
	[Being bank a/c opened in SBI]			20,000
10/1/85	Purchase a/c ——— Dr To Mohan a/c		20,000	
	[Being goods purchased from Mohan on credit]			20,000
20/1/85	Madan a/c ——— Dr To sales a/c		25,000	
	[Being goods sold to Madan on credit]			25,000
25/1/85	Mohan a/c ——— Dr To cash a/c		20,000	
	[Being cash paid to Mohan]			20,000
31/1/85	Salary a/c ——— Dr To cash a/c		6,000	
	[Being salary paid in cash]			6,000
			3,51,000.00	3,51,000.00

Ledger Accounts

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Debit (Dr)

Date	Particulars	J/F	Am't	Date	Particulars	J/F	Am't
01/11/15	To Capital A/c		2,00,000	01/11/15	By Int'l A/c		20,000
				05/11/15	By Mohan A/c		20,000
				31/11/15	By Salary A/c		6,000
				31/11/15	By Balance f/d		94,000
					(Carrying figure)		2,00,000
							2,00,000

11/11/15 To balance b/d.

Capital A/c

Date	Particulars	J/F	Am't	Date	Particulars	J/F	Am't
01/11/15	To Balance f/d		2,00,000	11/11/15	By Cash A/c		2,00,000
	(Carrying figure)		2,00,000				2,00,000

11/11/15 To balance b/d.

Bank A/c

Date	Particulars	J/F	Am't	Date	Particulars	J/F	Am't
01/11/15	To Cash A/c		20,000	31/11/15	By balance f/d		20,000
							20,000

11/11/15 To bank b/d (brought down)

Particular A/c

Date	Particulars	J/F	Am't	Date	Particulars	J/F	Am't
10/11/15	To Mohan A/c		20,000		By bank b/d.		20,000
							20,000

11/11/15 To bank b/d

Dr

Date	Particulars	J/F	Am't	Date	Particulars	J/F	Am't
01/11/15	To Cash A/c		20,000	01/11/15	By Mohan A/c		20,000

11/11/15 To bank b/d

01/11/15 To bank b/d

11/11/15 To bank b/d

01/11/15 To bank b/d

01/11/15 To bank b/d

01/11/15 To bank b/d

01/11/15 To bank b/d

01/11/15 To bank b/d

01/11/15 To bank b/d

01/11/15 To bank b/d

01/11/15 To bank b/d

both side 2,00,000
20,000 b/d

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Journalise the following transaction and post them to ledger accounts

11/1/85 business started with cash 1,20,000
 11/1/85 goods purchased for cash 20,000
 11/1/85 purchased furniture 30,000
 20/1/85 goods sold to Roopali 10,000
 25/1/85 Roopali returned goods 500
 31/1/85 drew cash for personal use 10,000

Date	Particulars	Dr	Debit	Credit
11/1/85	Cash A/c — Dr To Capital A/c		1,20,000	—
	[Being business started with cash]			1,20,000
11/1/85	Goods Purchase A/c — Dr To Cash A/c		20,000	—
	[Being goods purchased for cash]			20,000
10/1/85	Furniture A/c — Dr To Cash A/c		30,000	—
	[Being furniture purchased]			30,000
20/1/85	Sales Return A/c — Dr To Sales A/c		10,000	—
	[Being goods sold to Roopali]			10,000
25/1/85	Sales Return A/c — Dr To Roopali's A/c		500	—
	[Being Roopali's return of goods]			500
31/1/85	Drawings A/c — Dr To Cash A/c		10,000	—
	[Being cash drawn for personal use]			10,000

Ledger Accounts

Cash A/c

Debit (Dr)		Credit (Cr)	
Date	Particulars	Date	Particulars
11/1/85	To Capital A/c	11/1/85	By Purchase A/c
	1,20,000	10/1/85	By Furniture A/c
		31/1/85	By Drawing A/c
		31/1/85	By balance c/d (B.F.)
			60,000
11/1/85	To balance b/d		1,20,000
	60,000		

Capital A/c

Debit (Dr)		Credit (Cr)	
Date	Particulars	Date	Particulars
31/1/85	To balance c/d (B.F.)	11/1/85	By Cash A/c
			1,20,000
		11/1/85	By balance b/d
			1,20,000

Purchase A/c

Debit		Credit	
Date	Particulars	Date	Particulars
11/1/85	To Cash A/c	31/1/85	By balance c/d (B.F.)
	80,000		20,000

To By balance c/d

Debit		Credit	
Date	Particulars	Date	Particulars
11/1/85	To Cash A/c	31/1/85	By balance c/d (B.F.)
	30,000		30,000

Furniture A/c

Debit		Credit	
Date	Particulars	Date	Particulars
10/1/85	To Cash A/c	31/1/85	By balance c/d (B.F.)
	30,000		30,000

Debit		Credit	
Date	Particulars	Date	Particulars
11/1/85	To balance b/d	31/1/85	By balance c/d (B.F.)
	30,000		30,000

Rupali's A/c

(Credit)

Debit	Particulars	J/F	Amount	Date	Particulars	J/F	Amount	Credit
30/1/15	To Salary A/c		10,000	31/1/15	By Salary A/c		500	

1/2/15	To balance b/d		9500	31/1/15	By Drawing		9500	

Debit	Particulars	J/F	Amount	Date	Particulars	J/F	Amount	Credit
31/1/15	To balance d/d (B.F.)		10,000	31/1/15	By Salary A/c		10,000	

1/1/15	To balance b/d		10,000	31/1/15	By Drawing		10,000	
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Sally Return A/c

(Credit)

Debit	Particulars	J/F	Amount	Date	Particulars	J/F	Amount	Credit
31/1/15	To Rupali's A/c		500	31/1/15	By Drawing		500	

1/2/15	To balance b/d		500	31/1/15	By Drawing		500	
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Drawing's A/c

(Credit)

Debit	Particulars	J/F	Amount	Date	Particulars	J/F	Amount	Credit
31/1/15	To Cash A/c		10,000		By balance b/d		10,000	

1/2/15	To balance c/d		10,000					
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Problem

(3) Journalise the following transaction and post them to the ledger Account

1/1/15 Business started with cash and goods 1,50,000

31/1/15 Purchased goods from Hari 30,000

5/1/15 Returned goods to Hari 1000

10/1/15 Cash paid to Hari on A/c 10,000

20/1/15 Paid for stationary 2000

Date	Particulars	L/F	Debit (Dr.)	Credit (Cr.)
1/1/15	Cash A/c ———— Dr		1,50,000	
	Stock A/c ———— Dr		50,000	
	To Capital A/c			2,00,000

[Being business started with cash and goods]

31/1/15	Purchase A/c ———— Dr		30,000	
	To Hari's A/c			30,000

[Being 'goods' purchased from Hari]

5/1/15	Hari's A/c ———— Dr		1000	
	To Purchase return A/c			1000

[Being returned goods to Hari]

10/1/15	Hari's A/c ———— Dr			
	To Purchase return A/c			

[Being returned goods to Hari]

	To Cash A/c			10,000
	To Drawing A/c			500

[Being cash paid to Hari on A/c and drawing received]

31/1/85	Stationary A/c	8,000		8,000
	To cash A/c			
	Carriage Stationary			
	Carriage			

Leger A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To capital A/c	1,500	
	By Stationary A/c		1,500
31/1/85	To balance b/d	11,300	
			11,300

Stock A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To capital A/c	50,000	
	By balance c/d		50,000
31/1/85	To balance b/d	50,000	
			50,000

Capital A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To balance b/d	2,000	
	By cash A/c		1,500
	By stock A/c		50,000
31/1/85	To balance b/d	2,000	
	By balance c/d		52,000

Purchases A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To cash A/c	30,000	
	By balance c/d		30,000
31/1/85	To balance b/d	30,000	
	By balance c/d		30,000

A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To cash A/c	10,000	
	By balance c/d		10,000
31/1/85	To balance b/d	18,500	
	By balance c/d		30,000

Or		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To cash A/c	1,000	
	By balance c/d		1,000
31/1/85	To balance b/d	1,000	
	By balance c/d		1,000

Stationary A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To cash A/c	500	
	By balance c/d		500
31/1/85	To balance b/d	500	
	By balance c/d		500

Stationary A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To cash A/c	2,000	
	By balance c/d		2,000
31/1/85	To balance b/d	2,000	
	By balance c/d		2,000

Stationary A/c		Credit	
Debit	Particulars	J/F Amt	J/F Amt
31/1/85	To cash A/c	2,000	
	By balance c/d		2,000
31/1/85	To balance b/d	2,000	
	By balance c/d		2,000

2) Summarise the following transaction and post them in the ledger and balance the amount on 31/12/2012

DATE	PARTICULAR	AMOUNT
11/12/2012	Mr Q started business (capital) ₹ 2,00,000	
21/12/2012	Purchased goods from Mr R on credit worth ₹ 30,000	
31/12/2012	Paid cash to Mr R of RS ₹ 10,000 against the goods purchased on credit	
4/1/2013	Mr Q sold goods to Mr C ₹ 22,000 worth	
31/12/2012	Mr C paid ₹ ₹ 22,000 to Mr Q against goods purchased by him	
31/12/2012	Mr Q spent ₹ 2000 towards office expenses	

Journal entry in the books of Mr Q

DATE	PARTICULAR	LF	DEBIT	CREDIT
11/12/2012	Cash A/c — Dr To Capital A/c [Being Mr Q started business with cash]		2,00,000	2,00,000
21/12/2012	Purchase A/c — Dr To Mr R A/c		30,000	30,000
31/12/2012	Being goods purchased from Mr R on credit			
31/12/2012	Mr R A/c — Dr To Cash A/c		10,000	10,000
31/12/2012	Being cash paid to Mr R on credit			

DATE	PARTICULAR	LF	DEBIT	CREDIT
4/1/2013	Mr C A/c — Dr To Sales A/c		22,000	22,000
31/12/2012	Being Mr Q sold goods to Mr C			

DATE	PARTICULAR	LF	DEBIT	CREDIT
31/12/2012	Cash A/c — Dr To Mr C A/c		22,000	22,000
31/12/2012	Being Mr C paid to Mr Q			

DATE	PARTICULAR	LF	DEBIT	CREDIT
31/12/2012	Office expenses A/c — Dr To Cash A/c		2,000	2,000
31/12/2012	Being Mr Q spent office expenses			

DATE	PARTICULAR	LF	DEBIT	CREDIT
31/12/2012	To balance c/d			2,00,000
31/12/2012	By balance b/d		2,00,000	

opening stock in hand
 11/1/15

Date	Particulars	Dr	Cr
10/1/15	Drawings A/c to Purchase A/c [Being cash goods took for personal use]	4,000	4,000
31/1/15	Bank A/c to Bank A/c [Being rent paid by cheque]	5,000	5,000

opening stock in hand
 11/1/15

Date	Particulars	Dr	Cr
10/1/15	Purchase A/c to Cash A/c [Being balance of 10/1/15]	6,000	6,000
31/1/15	to Balance f/d	9,000	15,000

Bank A/c

Date	Particulars	Dr	Cr
11/1/15	to Cash A/c	55,000	55,000
11/1/15	to Cash A/c	50,000	50,000

Stock A/c

Date	Particulars	Dr	Cr
11/1/15	to Cash A/c	40,000	40,000
10/1/15	to Cash A/c	40,000	40,000

Date	Particulars	Dr	Cr
10/1/15	to Cash A/c	15,000	15,000
11/1/15	to Cash A/c	15,000	15,000

Date	Particulars	Dr	Cr
10/1/15	to Cash A/c	6,000	6,000
11/1/15	to Cash A/c	6,000	6,000

Capital A/c

Date	Particulars	Dr	Cr
10/1/15	to Balance f/d	1,10,000	1,10,000

Date	Particulars	Dr	Cr
10/1/15	to Cash A/c	15,000	15,000
11/1/15	to Cash A/c	11,000	11,000

Dr Karuna A/c

Date	Particulars	JF Amt	Date	Particulars	JF Amt
19/11/15	Particulars	JF Amt	31/11/15	By bal c/d	10,000
5/11/15	To sales A/c	10,000			

11/11/15 To balance b/d

10,000	
10,000	

Dr Sales A/c

Date	Particulars	JF Amt	Date	Particulars	JF Amt
31/11/15	To balance c/d	10,000	11/11/15	By Karuna A/c	10,000

10,000	
10,000	

Dr Drawings A/c

Date	Particulars	JF Amt	Date	Particulars	JF Amt
10/11/15	By purchase A/c	4,000	31/11/15	By bal c/d	4,000

4,000	
4,000	

Dr Rent A/c

Date	Particulars	JF Amt	Date	Particulars	JF Amt
31/11/15	To bank A/c	5,000	31/11/15	By bal c/d	5,000

5,000	
5,000	

Trial Balance

Meaning of Trial Balance.

A trial balance is a statement showing the balance, or the total of debits and credits of all the accounts in the ledger with a view to verify the arithmetical accuracy of posting and the ledger accounts.

Trial balance is an important statement in the accounting process as it shows the final position of all accounts and helps in preparing the final statements. It is normally prepared at the end of the accounting year.

Format of Trial balance

Sl.No.	Name of the Account	Debit balance	Credit balance
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Note: 1. All debit shows debit balance

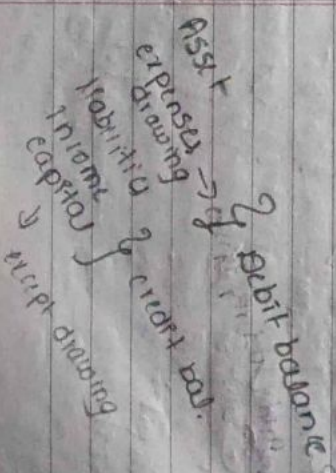
2. All liability shows credit balance

3. All expenses shows debit balance

4. All income shows credit balance - (Sales, Return)

5. All capital shows credit balance (except drawings shows debit balance)

Expense - except purchase return - credit.



Form of Trial Balance

Sl. No. Name of the Account If Debit balance Credit balance

1.	Capital	✓	
2.	Land and building	✓	
3.	Land and machinery	✓	
4.	Equipment	✓	
5.	Furniture & fixtures	✓	
6.	Cash in hand	✓	
7.	Cash at bank	✓	
8.	Debtors	✓	
9.	Bills receivable	✓	
10.	Opening stock	✓	
11.	General reserve	✓	
12.	Purchase		✓
13.	Carriage		✓
14.	Carriage outward		✓
15.	Sally		✓
16.	Sales return		✓
17.	Purchase return		✓
18.	Profit		✓
19.	Commission received		✓
20.	Discount received		✓
21.	Salaries		✓
22.	Long term loan		✓
23.	Bills payable		✓
24.	Creditors		✓
25.	Advance from customers		✓
26.	Drawings		✓
	debt, advertisement, postage, rent, insurance, salary return		✓
	Bank overdraft		✓
	Purchase return		✓
	Drawings		✓
	has stock		✓
	Revenue		✓

Method - 2

Problem - 1: Prepare trial balance from the following particulars as on 31/3/2025

1.	Capital	₹ 25,000	
2.	Bills payable	₹ 1,850	
3.	Bills receivable	₹ 4,400	
4.	Stock on 1/4/2024	₹ 8,500	
5.	Furniture	₹ 2,600	
6.	Purchase	₹ 8,950	
7.	Sally	₹ 22,500	
8.	Discount received	₹ 970	
9.	Carriage	₹ 300	
10.	Cash at bank	₹ 85,570	
	Total		

Trial balance as on 31/3/2025

Sl. No.	Name of the Account	If Debit balance	Credit balance
1.	Capital		₹ 25,000
2.	Bills payable		₹ 1,850
3.	Bills receivable	₹ 4,400	
4.	Stock on 1/4/2024	₹ 8,500	
5.	Furniture	₹ 2,600	
6.	Purchase	₹ 8,950	
7.	Sally		₹ 22,500
8.	Discount received		₹ 970
9.	Carriage	₹ 300	
10.	Cash at bank	₹ 85,570	
	Total	₹ 50,320	₹ 50,320

Q. Mr. Ganesh ledger shows the following balance, prepare a trial balance using balance method

Sl. No.	Name of the Account	LF	Debit Bal.	Credit Bal.
1.	Ganesh Capital A/c			50,000
2.	Manu A/c (Credit)			40,000
3.	Machinery A/c		17,000	
4.	Ravi's A/c (Debit)		15,000	
5.	Sally A/c		60,000	
6.	Wagya A/c		5,000	
7.	Purchase A/c		76,000	
8.	Pay A/c		41,000	
9.	Debtors	Debit	10,500	
10.	Creditors	Credit		14,500
Total			1,64,500	1,64,500

Q. From the following particulars given below prepare a trial balance as on March 31st 2025

1.	Capital	1,00,000	8.	Wagya	40,000
2.	Drawings	16,000	9.	Goodwill	60,000
3.	Machinery	20,000	10.	Bank A/c	15,000
4.	Sally	200,000	11.	Dividend	6,000
5.	Purchase	2,10,000	12.	Bank overdraft	22,000
6.	Sally return	20,000	13.	Bank loan	90,000
7.	Purchase return	30,000			

Q. Debtors: Nandu 55,000
Rupa 20,000
Creditors: Renua 35,000
Ganesh 25,000

Sl. No.	Name of the Account	LF	Debit Bal.	Credit Bal.
1.	Capital			1,00,000
2.	Drawings		16,000	
3.	Machinery		20,000	
4.	Sally		2,10,000	
5.	Purchase		20,000	
6.	Sally return			30,000
7.	Purchase return			
8.	Wagya		40,000	
9.	Goodwill		60,000	
10.	Interest received			15,000
11.	Dividend allowed			6,000
12.	Bank overdraft (liability)			22,000
13.	Bank loan			90,000
14.	Debtors: Nandu Rupa		55,000 20,000	
15.	Creditors: Renua Ganesh			35,000 25,000
16.	Cash		54,000	
17.	Stock on 1/4/2024		16,000	
Total			5,17,000	5,17,000

Trial Balance

The basic principle of accounting is that for every debit there will be an equal credit. It implies that the sum of debits equals the sum of all credits, it is presumed that the posting to the ledger in terms of debit and credit amounts is accurate. The trial balance is a tool for verifying the correctness of debit and credit amounts. It is an arithmetic check under the double entry system which verifies that both aspects of every transaction have been recorded accurately.

Meaning of Trial balance

A trial balance is a statement showing the balance or total of debits and credits of all the accounts in the books with a view to verify the arithmetical accuracy of posting into ledger accounts. Trial balance is an important statement in the accounting process as it shows the final position of all accounts and helps in preparing the statements. It is normally prepared at the end of an accounting year.

It may be noted that all assets, expenses, and receivables accounts shall have debit balance, whereas all liabilities, revenues, and payable accounts shall have credit balance.

1. State the meaning of a trial balance

Trial balance is a list of ledger accounts balanced. It is prepared to verify the arithmetical accuracy of accounts and to facilitate the preparation of final statements.

Format of Trial Balance

2. State any one step in the preparation of trial balance.

- ① Ascertain the balance of each account in the ledger.
- ② List each debit and credit balance in the debit or credit column as the case may be.
- ③ Compute the total of debit balances column.
- ④ Compute the total of credit balances column.

Objective of Preparing Trial Balance.

The trial balance is prepared to justify the following objectives.

1. To ascertain the arithmetical accuracy of the ledger accounts.
2. To help in locating errors.
3. To help in the preparation of the financial statements (Profit & Loss account and Balance Sheet).

4. To ascertain the arithmetical accuracy of ledger accounts

The purpose of preparing a trial balance is to ascertain whether all debits and credits are properly recorded in the ledger or not and that all accounts have been debited and credited correctly and balanced. As a summary of the ledger it is a list of the accounts and their balances when the totals of all the debit balances and credit balances in the trial balance are equal. It is assumed that the posting and balancing of accounts is arithmetically correct. However, the tallying of the trial balance is not a conclusive proof of the accuracy of the accounts. It only ensures that all debits and the corresponding credits have been properly recorded in the ledger.

2. To help in locating errors

When a trial balance does not tally (there is a difference between the debit and credit columns or not equal) we know that at least one error has occurred. The error (or errors) may have occurred at one of the stages in the accounting process:

- ① totalling of subsidiary books
- ② posting of journal entries to the ledger
- ③ calculating account balances
- ④ carrying account balances to the trial balance
- ⑤ totalling the trial balance columns

It may be noted that the accounting entrying is not ensured even if the totals of debit and credit balance are equal because some errors do not affect equality of debits and credits

3. To help in the preparation of the financial statements

Trial balance is considered as the connecting link between accounting records and the preparation of financial statements. For preparing a financial statement, one need not refer to the ledger. In fact, the availability of a tallied trial balance is the first step in the preparation of financial statements. All the revenue and expense accounts appearing in the trial balance are transferred to the trading and profit and loss account and assets and liabilities, capital and reserves accounts are transferred to the trading and profit and loss account and all liabilities, capital and reserves accounts are transferred to the balance sheet.

③ State any objective of preparing a trial balance

- ① To Ascertain the arithmetical accuracy of the ledger accounts
- ② To help in the preparation of financial statements (Profit and loss accounts & balance sheet)
- ③ To help in locating errors

Preparation of Trial Balance

- ① State any one method of preparing a trial balance
- ② Totals method
- ③ Balance method (most widely used method)
- ④ Tally - turn - balance method.

Balance method.

This is the most widely used method in practice. Under this method trial balance is prepared by showing the balances of all ledger accounts and then totalling up the debit and credit columns of the trial balance to assure their correctness. The accounts balances are used because the balance summarises the net effect of all transactions relating to an account and helps in preparing the financial statements

- ⑤ Give the meaning of Balance method of preparing the trial balance

Balance method is a method under which trial balance is prepared by showing the balances of all ledger accounts and then totalling up the debit and credit columns of the trial balance to assure their correctness

method - 2

Journalise the following and post them into a ledger and balance the accounts. also prepare Trial Balance.

Date	Particulars	₹
01/11/85	commenced business	₹ 2,00,000
01/11/85	with cash	
01/11/85	opened bank A/c	₹ 1,00,000
01/11/85	with SBI	
01/11/85	purchase furniture	₹ 20,000
01/11/85	purchase goods from Mahesh	₹ 10,000
01/11/85	purchase goods for cash	₹ 20,000
01/11/85	cash received	
01/11/85	returned goods to Mahesh	₹ 1,000
01/11/85	sold goods for cash	₹ 80,000
01/11/85	sold goods to Binch on account	₹ 10,000
01/11/85	Paid to Mahesh by cheque	₹ 9,000
01/11/85	Received cash from Binch	₹ 9,500
01/11/85	discount allowed	₹ 500
15/11/85	purchase from Manohar on credit	₹ 10,000
01/11/85	draw cash for personal use	₹ 2,000
01/11/85	draw from bank for office use	₹ 5,000
01/11/85	commission received	₹ 2,000
01/11/85	insurance premium paid by cheque	₹ 3,000
01/11/85	rent paid by cheque	₹ 5,000
01/11/85	salary paid to Mahesh	₹ 10,000
01/11/85	wages paid	₹ 2,000

Journal entries in the books of

Date	Particulars	Dr	Cr
01/11/85	Cash A/c — Dr To Capital A/c	2,00,000	—
01/11/85	[Being business commenced with cash]		
01/11/85	Bank A/c — Dr To Cash A/c	1,00,000	—
01/11/85	[Being opened bank A/c with SBI]		
01/11/85	Furniture A/c — Dr To Cash A/c	20,000	—
01/11/85	[Being furniture purchased for cash]		
01/11/85	Purchase A/c — Dr To Mahesh A/c	10,000	—
01/11/85	[Being goods purchased from Mahesh]		
01/11/85	Purchase A/c — Dr To Purchase return A/c	1,000	—
01/11/85	[Being goods returned to Mahesh]		
01/11/85	Cash A/c — Dr To Sales A/c	80,000	—
01/11/85	[Being goods sold for cash]		
01/11/85	Sales A/c — Dr To Sales A/c	10,000	—
01/11/85	[Being goods sold to Binch]		
01/11/85	Binch A/c — Dr To Sales A/c	—	10,000
01/11/85	[Being cash received from Binch]		
01/11/85	Mahesh A/c — Dr To Bank A/c	9,000	—
01/11/85	[Being cheque paid.]		
01/11/85	Cash A/c — Dr To Mahesh A/c	9,500	—
01/11/85	[Being cash received from Mahesh]		

Purchase A/c

A/c					
Date	Particulars	JIF Amt Dr	Date	Particulars	JIF Amt Cr
4/1/15	To Nadeh A/c	20,000	31/1/15	By bal c/d	40,000
15/1/15	To Nadeh A/c	10,000			
4/1/15	To cash A/c	20,000			
		<u>40,000</u>			<u>40,000</u>
1/2/15	To bal b/d	40,000			

Nadeh A/c

Date	Particular	JIF Amt Dr	Date	Particular	JIF Amt Cr
3/1/15	To purchase	1000	4/1/15	By purchase A/c	10,000
15/1/15	return A/c	9000	31/1/15	By bal c/d	9000
1/2/15	To bank A/c	10,000			10,000
1/2/15	To bal b/d	9000			

Purchase return A/c

Date	Particular	JIF Amt Dr	Date	Particular	JIF Amt Cr
31/1/15	To bal c/d	1000	31/1/15	By Nadeh A/c	1000
		1,000			1,000
1/2/15	By bal b/d	1,000			

Sale A/c

Date	Particular	JIF Amt Dr	Date	Particular	JIF Amt Cr
31/1/15	To bal c/d	30,000	31/1/15	By cash A/c	20,000
		30,000	7/1/15	By Dinu A/c	10,000
1/2/15	By bal b/d	30,000			30,000

Disposal A/c

Date	Particular	JIF Amt Dr	Date	Particular	JIF Amt Cr
10/1/15	To Dinu A/c	10,000	31/1/15	By bal c/d	500
		500			500
1/2/15	To bal b/d	10,000			

Nadeh A/c

Date	Particular	JIF Amt Dr	Date	Particular	JIF Amt Cr
31/1/15	To bal c/d	10,000	10/1/15	By cash A/c	9500
		10,000	31/1/15	By Disposal A/c	500
1/2/15	By bal b/d	10,000			10,000

Disposal A/c

Date	Particular	JIF Amt Dr	Date	Particular	JIF Amt Cr
31/1/15	To cash A/c	10,000	15/1/15	By purchase A/c	10,000
		10,000			10,000
1/2/15	By bal b/d	10,000			

Commission received A/c

Date	Particular	JIF Amt Dr	Date	Particular	JIF Amt Cr
31/1/15	To bal c/d	2,000	31/1/15	By cash A/c	8000
		2,000			8000
1/2/15	By bal b/d	2,000			

Dr

Insurance A/c

Date	Part	J/F	Amt Dr	Date	Part	J/F	Cr Amt
28/1/15	To bank A/c		3000	31/1/15	By bal old		3000
			<u>3000</u>				<u>3000</u>
1/2/15	To bal b/d		3000				

Dr

Rent A/c

Date	Part	J/F	Amt	Date	Part	J/F	Cr Amt
30/1/15	To bank A/c		5,000	31/1/15	By bal old		2,000
			<u>5,000</u>				<u>2,000</u>
1/2/15	To bal b/d		5,000				<u>5,000</u>

Dr

Salary A/c

Date	Part	J/F	Amt	Date	Part	J/F	Cr Amt
31/1/15	To cash A/c		10,000	31/1/15	By bal old		10,000
			<u>10,000</u>				<u>10,000</u>
1/2/15	To bal b/d		10,000				

Dr

Wages A/c

Date	Part	J/F	Amt	Date	Part	J/F	Cr Amt
31/1/15	To cash A/c		2000	31/1/15	By bal old		2,000
			<u>2000</u>				<u>2,000</u>
1/2/15	To bal b/d		2,000				

Prepare a trial balance from the following balance to Shrivastav as on 31/3/2025

Sl. No.	Name of the A/c	Dr	Credit
1	Shrivastav Capital	4,45,000	
2	Stock of goods	70,000	
3	Motor car	1,20,000	
4	Bad debts	7,000	
5	Sales		8,08,000
6	Cash at bank	90,000	
7	Cash in hand	12,000	
8	Rent	35,000	
9	Discount allowed	4,000	
10	Carriage	15,000	
11	Shrivastav Capital		1,45,000
12	Stock of goods	70,000	
13	Motor car	1,20,000	
14	Bad debts	7,000	
15	Sales		8,08,000
16	Cash at bank	90,000	
17	Cash in hand	12,000	
18	Rent	35,000	
19	Discount allowed	4,000	
20	Carriage	15,000	
	Total	8,53,000	8,53,000

Prepare a trial balance from the following ledger balance extracted from the books of Mr. Harsha, trader, Tumkuru on 31/3/2025

Sl. No.	Name of the A/c	Dr	Credit
1	Opening stock	18,000	
2	Capital		4,20,000
3	Building	46,000	
4	Plant	33,860	
5	Carriage	8,000	
6	Sales		3,60,000
7	Purchase	3,08,600	
8	Sales return		3,640
9	Interest received		1,980
10	Miscellaneous	4,21,880	
11	Opening stock		18,000
12	Capital		4,20,000
13	Building	46,000	
14	Plant	33,860	
15	Carriage	8,000	
16	Sales		3,60,000
17	Purchase	3,08,600	
18	Sales return		3,640
19	Interest received		1,980
20	Miscellaneous	4,21,880	
	Total	8,33,980	8,33,980

From the following ledger balance of Arpita prepare a trial balance as on 31/3/2025

- (1) Stock (14/10084) → 15,000
- (2) Purchase → expense 30,000
- (3) Sales → income 40,000
- (4) Capital → capital 45,000
- (5) Drawings → 10,000
- (6) Debtors → D/B 18,000
- (7) Creditors → credit 10,000
- (8) Investment → asset 15,000
- (9) Legal charges → expense 2,000
- (10) Cash in hand → B/B 5,000

S.N	Name of Account	LF	Debit	Credit
1	Stock	asset	15,000	
2	Purchase	expense	30,000	
3	Sales	income		40,000
4	Capital	capital		45,000
5	Drawings	capital but debit	10,000	
6	Debtors	asset	18,000	
7	Creditors	liability		10,000
8	Investment	asset	15,000	
9	Legal charges	expense	2,000	
10	Cash in hand	asset	5,000	
	total		95,000	95,000

3rd Chap

Subsidiary Books

Accounting Books

Source documents

↓

Journal

↓

Ledger

↓

T/B

(Trial balance)

P/L B/S CF
(Profit & Loss) (Balance Sheet) (Cash Flow)

Types of subsidiary books

(1) Purchase book

(2) Purchase Return Book

(3) Sales Book

(4) Sales Return book

(5) Cash book

(6) Bills Receivable

(7) Bills Payable

(8) Journal proper

Single column
Double column
Triple column
 petty cash book

Subsidiary Books

Subsidiary books may be defined as a book of prime entry in which transaction of a particular category are recorded.

In other words,

If in order to save the time and energy, the transaction which are of similar character

are recorded in separate books, these are called 'Subsidiary Books' or 'Subdivisions of Journal'

A no of subsidiary books are open to record all business transaction

Ques

The subdivision of Journal can be explained with the help of the following figure.